

Inflation & Monetary Policy

CPI/WPI, inflation types, RBI/MPC tools and transmission.

Portion focus ~85% · Topic: econ-basics

PYQ themes: CPI/WPI · MPC · Repo · Inflation types · Transmission

Why this article (PYQ probability)

Portion chance ~85%. Yearly core; parent econ-basics ~85%.

Years appeared (synthesis): 2016, 2017, 2018, 2019, 2020, 2021, 2022, 2023, 2024, 2025

Why UPSC asks this

Definitions + tool effects produce conceptual MCQs.

Why this portion is high-chance for the next exam

Portion chance ~85%. Yearly core; parent econ-basics ~85%. Within econ-basics, examiners return to inflation measurement and monetary policy because it yields clean MCQ discriminators: definitions, matching lists, and statement–reason traps. These notes are multi-page depth material — original study synthesis for prioritisation, not NCERT/UPSC verbatim text and not an official prediction.

Use the chance % to sequence study hours, then widen to neighbouring syllabus areas. PYQ theme tags driving selection: CPI/WPI, MPC, Repo, Inflation types, Transmission. Approximate appearance years in the 2016–2025 educational synthesis: 2016, 2017, 2018, 2019, 2020, 2021, 2022, 2023, 2024, 2025.

Read this block slowly: high-chance portions repay depth because UPSC recycles the same discriminators with fresh stems. Your job is not to memorise paragraphs but to own triggers — dates, articles, site–feature pairs, formulae, treaty purposes — so elimination is automatic. After each subsection, pause and write two keywords on rough paper; if you cannot, reread only that subsection.

Core map of inflation measurement and monetary policy

Inflation: Sustained rise in general price level. CPI: Consumer basket; policy-relevant in MPC era. WPI: Wholesale basket — comparative asks.

Headline vs core: Core excludes volatile food/fuel analytically. Demand-pull vs cost-push: Demand excess vs input shocks. Stagflation: Low growth + high inflation.

If you can explain each point aloud in sixty seconds without notes, elimination speed in Prelims rises sharply. Watch absolute words in options (always/never/only) — often wrong where processes are multi-causal or jurisprudentially nuanced.

Draw the core map once from memory at the end of this sitting. Compare with the text. Patch only the missing nodes. That single retrieval cycle is worth more than two passive rereads of the same page.

Depth focus: Inflation

Inflation — Sustained rise in general price level In exam stems, expect this idea to appear either as a direct definition or as one statement in a multi-statement cluster.

CPI — Consumer basket; policy-relevant in MPC era Contrast the two ideas above: what would a wrong option swap between them?

Micro-drill: write one correct statement and one incorrect statement using only these ideas; label why the incorrect one fails. Keep language tight — UPSC rewards precision on inflation measurement and monetary policy more than ornamental vocabulary. If this pair links to a map or article number, add that trigger in the margin of your PDF printout.

Depth focus: WPI

WPI — Wholesale basket — comparative asks In exam stems, expect this idea to appear either as a direct definition or as one statement in a multi-statement cluster.

Headline vs core — Core excludes volatile food/fuel analytically Contrast the two ideas above: what would a wrong option swap between them?

Micro-drill: write one correct statement and one incorrect statement using only these ideas; label why the incorrect one fails. Keep language tight — UPSC rewards precision on inflation measurement and monetary policy more than ornamental vocabulary. If this pair links to a map or article number, add that trigger in the margin of your PDF printout.

Depth focus: Demand-pull vs cost-push

Demand-pull vs cost-push — Demand excess vs input shocks In exam stems, expect this idea to appear either as a direct definition or as one statement in a multi-statement cluster.

Stagflation — Low growth + high inflation Contrast the two ideas above: what would a wrong option swap between them?

Micro-drill: write one correct statement and one incorrect statement using only these ideas; label why the incorrect one fails. Keep language tight — UPSC rewards precision on inflation measurement and monetary policy more than ornamental vocabulary. If this pair links to a map or article number, add that trigger in the margin of your PDF printout.

Depth focus: MPC

MPC — Sets policy repo under flexible inflation targeting In exam stems, expect this idea to appear either as a direct definition or as one statement in a multi-statement cluster.

Repo rate — Liquidity injection rate — hike cools demand Contrast the two ideas above: what would a wrong option swap between them?

Micro-drill: write one correct statement and one incorrect statement using only these ideas; label why the incorrect one fails. Keep language tight — UPSC rewards precision on inflation measurement and monetary policy more than ornamental vocabulary. If this pair links to a map or article number, add that trigger in the margin of your PDF printout.

Depth focus: Absorption tools

Absorption tools — Reverse repo/SDF-era tools evolve In exam stems, expect this idea to appear either as a direct definition or as one statement in a multi-statement cluster.

CRR/SLR — Quantum tools on lendable resources Contrast the two ideas above: what would a wrong option swap between them?

Micro-drill: write one correct statement and one incorrect statement using only these ideas; label why the incorrect one fails. Keep language tight — UPSC rewards precision on inflation measurement and monetary policy more than ornamental vocabulary. If this pair links to a map or article number, add that trigger in the margin of your PDF printout.

Depth focus: OMO

OMO — Buy/sell G-secs for liquidity In exam stems, expect this idea to appear either as a direct definition or as one statement in a multi-statement cluster.

Transmission — Imperfect pass-through to lending rates Contrast the two ideas above: what would a wrong option swap between them?

Micro-drill: write one correct statement and one incorrect statement using only these ideas; label why the incorrect one fails. Keep language tight — UPSC rewards precision on inflation measurement and monetary policy more than ornamental vocabulary. If this pair links to a map or article number, add that trigger in the margin of your PDF printout.

Depth focus: Real vs nominal

Real vs nominal — Inflation-adjusted thinking In exam stems, expect this idea to appear either as a direct definition or as one statement in a multi-statement cluster.

Inflation targeting — Target band anchors expectations Contrast the two ideas above: what would a wrong option swap between them?

Micro-drill: write one correct statement and one incorrect statement using only these ideas; label why the incorrect one fails. Keep language tight — UPSC rewards precision on inflation measurement and monetary policy more than ornamental vocabulary. If this pair links to a map or article number, add that trigger in the margin of your PDF printout.

Depth focus: Food inflation

Food inflation — Supply shocks complicate pure monetary stories In exam stems, expect this idea to appear either as a direct definition or as one statement in a multi-statement cluster.

Base effect — Distorts YoY reads Contrast the two ideas above: what would a wrong option swap between them?

Micro-drill: write one correct statement and one incorrect statement using only these ideas; label why the incorrect one fails. Keep language tight — UPSC rewards precision on inflation measurement and monetary policy more than ornamental vocabulary. If this pair links to a map or article number, add that trigger in the margin of your PDF printout.

Depth focus: Disinflation vs deflation

Disinflation vs deflation — Slowing inflation vs falling prices In exam stems, expect this idea to appear either as a direct definition or as one statement in a multi-statement cluster.

FX channel — Stance interacts with capital flows Contrast the two ideas above: what would a wrong option swap between them?

Micro-drill: write one correct statement and one incorrect statement using only these ideas; label why the incorrect one fails. Keep language tight — UPSC rewards precision on inflation measurement and monetary policy more than ornamental vocabulary. If this pair links to a map or article number, add that trigger in the margin of your PDF printout.

Depth focus: Fiscal dominance risk

Fiscal dominance risk — Fiscal pressure complicates monetary narrative In exam stems, expect this idea to appear either as a direct definition or as one statement in a multi-statement cluster.

Prefer concepts — Over memorising yesterday's print Contrast the two ideas above: what would a wrong option swap between them?

Micro-drill: write one correct statement and one incorrect statement using only these ideas; label why the incorrect one fails. Keep language tight — UPSC rewards precision on inflation measurement and monetary policy more than ornamental vocabulary. If this pair links to a map or article number, add that trigger in the margin of your PDF printout.

Comparison tables — memorise differences, not essays

Tables win Prelims because UPSC loves correctly matched pairs and multi-statement sets. Study the table(s) embedded with this article until you can reproduce them on rough paper in under four minutes. Then invent two false rows and practise spotting them — that simulates assertion traps.

After table mastery, return to narrative sections only for rows you keep missing. Depth here is intentional: thin skim notes lose marks on discriminators. When a table row has a date, article, or place, that cell is a trigger — circle it.

Must-know India / applied angle

Revise current inflation target band from RBI materials before exam. Keep a rolling one-page CA addendum dated by month; do not rewrite your static spine every week. Mains crossover exists, but Prelims primarily rewards precise factual edges and definitions.

Link each applied example back to a static hook so current affairs does not float free of the syllabus. If a news item cannot attach to a hook within ten seconds, park it in a low-priority list. Rehearse a 45-second spoken India angle the day before any mock that might touch this portion.

How UPSC typically frames questions (PYQ angle)

Matching lists and multi-statement questions on inflation measurement and monetary policy. Tactic: eliminate anachronisms and category errors first (wrong institution, wrong treaty family, wrong century, wrong formula base). Then test remaining options against table rows. Finally, beware extra absolute adjectives.

Assertion–reason items often smuggle a true statement with a false causal link — judge the link, not only the facts. Matching lists reward uniqueness: start with the most distinctive pair. Themes: CPI/WPI, MPC, Repo, Inflation types, Transmission. Years signal in this hub's synthesis: 2016, 2017, 2018, 2019, 2020, 2021, 2022, 2023, 2024, 2025.

Common traps and how to dodge them

Trap: WPI=CPI baskets. Trap: One item spike = inflation. Trap: Disinflation=deflation.

Trap: Instant price cut after repo hike.

Build a personal trap diary: after each mock, add one line under this heading. Reread only the trap diary the night before the paper for this portion. Teach one trap to a peer in one minute — teaching exposes fuzzy understanding.

Worked revision method (make the PDF earn its pages)

Day 1: core map + table; close notes; reproduce table. Day 2: India angle + traps; 15 MCQs. Day 3: PYQ-style self-questions from headings only. Day 4: teach the topic aloud for eight minutes. Day 5: mixed quiz with neighbouring topics to prevent silo memory.

Print the PDF or use in-app Download PDF. Annotate margins only with triggers you forget — not entire yellow pages. Spaced retrieval beats rereading: hide the PDF and write bullets from memory, then check. In the final 15 days, this portion should be in 'table + traps + must' mode, not first-read mode.

Quick synthesis for the exam hall

Definitions ! ' table ! ' India ! ' traps for inflation measurement and monetary policy. Portion focus score used in-app: ~85%. If time is scarce in the last week, reread Must remember + tables + traps only; return to long sections for weak rows.

Carry a one-line spine on rough paper in the first minute of the paper if this topic appears early — then eliminate. Do not invent facts under pressure; prefer elimination from your table.

Extended notes — depth for multi-page mastery

Inflation. Sustained rise in general price level Pair this with one contrasting point so options cannot blur categories. Add a keyword trigger in your margin. CPI. Consumer basket; policy-relevant in MPC era Pair this with one contrasting point so options cannot blur categories. Add a keyword trigger in your margin. WPI. Wholesale basket — comparative asks Pair this with one contrasting point so options cannot blur categories. Add a keyword trigger in your margin. Headline vs core. Core excludes volatile food/fuel analytically Pair this with one contrasting point so options cannot blur categories. Add a keyword trigger in your margin. Demand-pull vs cost-push. Demand excess vs input shocks Pair this with one contrasting point so options cannot blur categories. Add a keyword trigger in your margin.

Stagflation. Low growth + high inflation Pair this with one contrasting point so options cannot blur categories. Add a keyword trigger in your margin. MPC. Sets policy repo under flexible inflation targeting Pair this with one contrasting point so options cannot blur categories. Add a keyword trigger in your margin. Repo rate. Liquidity injection rate — hike cools demand Pair this with one contrasting point so options cannot blur categories. Add a keyword trigger in your margin. Absorption tools. Reverse repo/SDF-era tools evolve Pair this with one contrasting point so options cannot blur categories. Add a keyword trigger in your margin. CRR/SLR. Quantum tools on lendable resources Pair this with one contrasting point so options cannot blur categories. Add a keyword trigger in your margin.

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This extended module exists so downloads are clearly longer richer than skim notes. Read it in two sittings if needed; do not skim on day one and never return. After finishing, close the article and write a 12-line summary from memory; compare; patch gaps only. Then solve at least ten mixed MCQs tagging each error to a heading in this PDF.

Error log template (copy into your notebook)

For every missed question related to this portion, record: (1) stem gist, (2) wrong choice, (3) correct choice, (4) misconception in five words, (5) table row or must-remember line that would have saved you. Review the error log before the next mock. If the same misconception repeats thrice, rewrite that depth-focus section in your own words on a fresh page.

This metacognitive loop is how multi-page notes convert into marks rather than shelf weight.

Self-check questions (close the book first)

1) Define inflation measurement and monetary policy in two sentences without buzzword salad. 2) Recite the comparison table rows from memory. 3) List three traps and the correct mental fix for each. 4) Give two India examples and one international or cross-topic anchor. 5) Write one incorrect statement UPSC might plant —

then correct it. 6) Time yourself: explain the exam spine in 90 seconds. 7) List five triggers (dates/articles/sites/formulae) without peeking.

Pass criteria: 6/7 without peeking. Then move to mixed MCQs. Failing is useful if you patch immediately — that is the point of depth notes.

Tools !' intent

Tool	When tightened
Repo hike	Cool demand
CRR hike	Less lendable funds
OMO sales	Suck liquidity
Communication	Anchor expectations

Common traps

- ' WPI=CPI baskets
- ' One item spike = inflation
- ' Disinflation=deflation
- ' Instant price cut after repo hike

Must remember

- CPI vs WPI
- MPC/repo
- Demand-pull vs cost-push
- Disinflation"``deflation
- Transmission lag

Quick revision checklist

- & Reproduce table
- & 5 must-remembers
- & 3 traps
- & India anchor
- & 10 MCQs

Educational prioritisation heuristic — not an official UPSC prediction.
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